INFLUENCE OF DIGITAL WALLETS ON THE FINANCIAL BEHAVIOR OF HEI'S STUDENTS

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ABSTRACT

This paper explores the influence of digital wallet usage on the financial behavior of Higher Education Institution (HEI) students in a State University of the Philippines. Guided by the Technology Acceptance Model (TAM), the research examined determinants of digital wallet adoption, including perceived ease of use, perceived usefulness, perceived value, social influence, perceived trust, perceived security, and intention to use. Financial behavior was assessed through cash management and financial planning and budgeting. Using a quantitative descriptive-correlational design, data were collected from 219 randomly selected participants through validated survey instruments. Results revealed that students generally perceived digital wallets positively and exhibited responsible financial practices. Regression analysis confirmed a significant positive effect of digital wallet usage on financial behavior, accounting for 45.4% of the variance. The study concludes that digital wallets contribute to improved financial management among students and recommends integrating digital financial literacy programs into HEIs. Further research should consider diverse populations and explore long-term effects of digital wallet usage.

Keywords: Digital Wallet Usage, Financial Behavior

INTRODUCTION

The increasing adoption of digital wallets among students has made it essential to examine how this technology shapes their financial habits and decision-making. Advances in financial technology (FinTech) have transformed many aspects of daily life, particularly in payment systems. One of the most notable innovations is the digital wallet, which serves as a modern and efficient alternative to traditional payment methods. Digital wallets enable users to purchase goods, transfer money, and pay bills through a single platform (Agrawal, 2021). This rapid shift toward digitization has changed how individuals—especially younger generations—manage their finances, raising important questions about its influence on financial behavior.

Financial Technology (FinTech) has revolutionized global payment systems, with e-wallets increasingly replacing cash and card transactions due to their convenience, speed, and security (Yousoof, 2024; San, 2024). Sukaris et al. (2021) highlighted that digital payments make transactions faster and more accessible, while Nuryasman and Warningsih (2021) emphasized that perceived usefulness and trust are key determinants of adoption. Similarly, Khan and Abideen (2023) found that trust and service quality reduce perceived risks, thereby encouraging user engagement. E-wallets, as described by Cases (2022), act as digital substitutes for cash and bank accounts, allowing users to store, transfer, and pay through their mobile devices. Their accessibility and ease of use make them particularly attractive to students seeking convenient financial management tools.

However, while digital wallets offer numerous advantages, several studies have cautioned that their convenience may lead to negative financial outcomes. Scheresberg et al. (2020) reported that mobile payment users tend to overspend, borrow more, and save less, raising concerns about weakened financial management. Amanda et al. (2023) found that digital wallet use among Generation Z promotes impulsive spending, particularly in online shopping and delivery services. Similarly, Nisa (2020) and Nguyen et al. (2022) concluded that while e-wallets provide faster and more efficient transactions, they may adversely affect users' financial planning, savings, and credit management.

Furthermore, studies examining the influence of digital wallets on students' financial behavior show that technological features and behavioral factors jointly affect usage. Thirunavukkarasu and Thoti (2024) identified ease of use, security, and rewards as major drivers of adoption, while Kardoyo et al. (2022) emphasized the role of performance expectancy and habitual use. Cabrera et al. (2023) found that financial literacy enhances saving behavior, though its correlation with digital wallet usage remains limited. Nuratika and Wiralaga (2022) observed that financial literacy mitigates the tendency toward excessive consumption despite the appeal of digital wallets. Promotional incentives such as discounts, cashback, and rewards have also been found to stimulate usage and encourage spending (Janah & Setyawan, 2022; Dede et al., 2024). Collectively, these studies suggest that while digital wallets enhance financial convenience, they may simultaneously encourage impulsive purchases and hinder effective long-term financial planning.

In the Philippine context, digital wallets such as GCash, Maya, and ShopeePay have become integral to daily transactions, especially among students. Their use extends from paying tuition and transportation fares to managing online purchases and other academic expenses. Among Higher Education Institution (HEI) students, digital wallets have introduced new patterns of financial management and decision-making. Although these platforms offer convenience, security, and efficiency, their influence on students' financial behavior—particularly in terms of cash management, financial planning, and budgeting—remains underexplored.

Therefore, this study aims to determine the influence of digital wallet usage on the financial behavior of Higher Education Institution students in a state university in the Philippines. Specifically, it assesses the determinants of digital wallet usage in terms of Perceived Ease of Use, Perceived Usefulness, Perceived Value, Social Influence, Attractiveness of Alternatives, Perceived Trust, Perceived Security, and Intention to Use. Furthermore, it examines students' financial behavior in terms of Cash Management and Financial Planning and Budgeting, and investigates the extent to which digital wallet usage influences these financial practices.

METHODOLOGY

A descriptive-correlational research design was employed to examine the influence of digital wallet usage on the financial behavior of Higher Education Institution (HEI) students in the Municipality of Talisayan, Misamis Oriental. This design was deemed appropriate as it enabled the researchers to identify patterns and measure relationships among variables without manipulating them. The descriptive aspect focused on determining the levels of digital wallet usage determinants and financial behavior, while the correlational aspect sought to establish the statistical association between the two. Such a design allowed the study to observe naturally occurring behaviors in a real-world academic setting.

The research was conducted within the Municipality of Talisayan, a developing coastal town situated along the eastern corridor of Northern Mindanao. Talisayan serves as an educational and commercial hub, hosting one higher education institution, the Bukidnon State University – Talisayan Campus, which served as the primary research site. The university's student population provided an ideal context for this study, as students increasingly rely on digital wallets for various transactions such as tuition payments, transportation fares, and food purchases.

The population consisted of enrolled college students in higher education institutions within Talisayan during the

Academic Year 2024–2025. Using Slovin's formula with a 95% confidence level and a 0.05 margin of error, the appropriate sample size was determined based on the total population obtained from the registrar's office. To ensure fair representation across year levels and academic programs, the researchers adopted a stratified random sampling technique. This approach minimized selection bias and enhanced the reliability and generalizability of the findings.

Data collection was carried out through a structured questionnaire developed by the researchers, adapted from the instrument used by Belmonte et al. (2024) with contextual modifications. The questionnaire comprises two parts. The first focuses on digital wallet usage, exploring key aspects such as perceived use, perceived usefulness, perceived value, social influence, attractiveness of alternatives, perceived trust, perceived security, and intention to use, using the 4-Point Likert Scale. The second part examines financial behavior, assessing dimensions like cash management, and financial planning and budgeting, using also the 4-Point Likert Scale. The instrument underwent expert validation and a pilot test before implementation to ensure reliability and validity.

After securing approval from the university administration, the researchers personally distributed the validated questionnaires to the identified respondents. Each participant was informed of the study's objectives and assured that their participation was voluntary, confidential, and used solely for academic purposes. The completed questionnaires were collected and carefully reviewed to ensure accuracy and completeness of responses.

For data analysis, descriptive statistics such as frequency, percentage, mean, and standard deviation were used to summarize the characteristics of the respondents and their responses. To determine the influence between digital wallet usage and financial behavior, the Pearson Product-Moment Correlation Coefficient was employed. This statistical test assessed the strength and direction of the relationship between the independent and dependent variables at a 0.05 level of significance, providing empirical evidence on whether digital wallet usage significantly affects financial behavior among HEI students in Talisayan.

Ethical considerations were strictly observed throughout the research process. Informed consent was obtained from all participants prior to their involvement in the study. All personal information was treated with confidentiality and anonymity to protect the respondents' privacy. The researchers ensured that no respondent was subjected to harm, coercion, or deception, and that the study complied fully with ethical standards for academic research.

ANALYSIS AND DISCUSSION OF RESULTS

Findings are presented according to three core research questions: (1) determining the level of digital wallet usage among HEI students, (2) assessing the level of their financial behavior, and (3) examining the influence of digital wallet usage on financial behavior.

Table 1
Mean & Standard Deviation Distribution of Determinants of Digital Wallet Usage

Determinants of Digital Wallet Usage	Mean	Description	SD
Perceived Ease of Use	2.95	Agree	0.87
Perceived Usefulness	2.96	Agree	0.89
Perceived Value	2.94	Agree	0.80
Social Influence	2.92	Agree	0.82
Attractiveness of Alternatives	2.98	Agree	0.77
Perceived Trust	2.99	Agree	1.24
Perceived Security	2.91	Agree	0.85
Intention to Use	2.96	Agree	0.80
Overall	2.95	Agree	0.88

Table 1 Table 3 presents the determinants of digital wallet usage among participants, showing both the mean and standard deviation (SD) for each factor. The results reveal that participants generally agreed with all determinants, as reflected by mean scores ranging from 2.91 to 2.99. The lowest variability in responses was observed in Attractiveness of Alternatives (SD = 0.77), indicating consistent views that, although other options exist, digital wallets remain the preferred choice. In contrast, Perceived Trust had the highest SD (1.24), suggesting more diverse opinions on the reliability of digital wallet platforms. Other determinants, such as Perceived Ease of Use (M = 2.95, SD = 0.87), Perceived Usefulness (M = 2.96, SD = 0.89),

and Perceived Value (M = 2.94, SD = 0.80), showed moderate agreement with relatively low variability, indicating a shared perception among students that digital wallets are beneficial and easy to use. The consistent agreement on Intention to Use (M = 2.96, SD = 0.80) reflects a strong behavioral intention to continue using digital wallets. The relationship between the mean and standard deviation in these results highlights how closely aligned participants' views are higher means with lower SDs point to strong consensus, while higher SDs, like in Perceived Trust, suggest divided opinions despite general agreement.

These findings align with Ali and Ali (2020), who emphasized in their tracer study that perceived ease of use, usefulness, trust, and social influence are significant factors influencing students' adoption of digital tools, including digital wallets. Their research supports the notion that a generally positive perception of these determinants, particularly when shared consistently across users, correlates with higher usage and acceptance among college students in the Philippines.

Table 2
Mean & Standard Deviation of Financial Behavior

Financial Behavior	Mean	Description	SD
Cash Management	2.97	Agree	0.85
Financial Planning & Budgeting	3.00	Agree	0.84
Overall	2.99	Agree	0.68

Table 2 presents the financial behavior determinants among participants, showing both the mean and standard deviation (SD) for each factor. The mean values indicate general agreement with responsible financial behavior, with all factors scoring above 2.90. Cash Management (M = 2.97, SD = 0.85) shows that participants generally practice responsible financial behavior, with moderate variability in responses. This suggests that most students agree on their ability to manage finances, though there is some diversity in how individuals approach cash management. Financial Planning & Budgeting (M = 3.00, SD = 0.84) shows slightly higher mean and SD values, indicating that participants are somewhat more proactive in setting and managing budgets. The moderate variability (SD = 0.84) points to differing levels of financial planning, with some participants being more organized than others in budgeting their finances. The overall financial behavior score (M = 2.99, SD = 0.68) reflects general agreement with the factors, but the lower SD indicates a stronger consensus among participants regarding responsible financial behavior. This suggests that, while students generally agree on the importance of managing finances and setting budgets, there are still slight differences in the extent to which they practice these behaviors.

These findings align with research by Sharma et al. (2020), which explored the role of financial literacy and planning in student financial behavior. The study found that students with higher levels of financial planning and budgeting tended to exhibit more responsible financial behaviors. In a similar vein, the relatively low variability in the overall financial behavior score suggests that a significant portion of participants exhibit these responsible behaviors, though slight differences remain in how effectively they practice financial management.

Table 3
Regression Analysis of the Influence of Determinants of Digital Wallets Usage and Financial Behavior

Model Summary[b]

Model	R	R Square	Adjusted R Square	Std. Error of the Estimate
1	.673[a]	0.454	0.451	0.50246

a. Predictors: (Constant), DigitalWalletUsage
b. Dependent Variable: FinancialBehavior

ANOVA[a]

Model		Sum of Squares	df	Mean Square	F	Sig.
1	Regression	45.478	1	45.478	180.136	<.001[b]
	Residual	54.785	217	0.252		
	Total	100.264	218			

a. Dependent Variable: FinancialBehavior
b. Predictors: (Constant), DigitalWalletUsage

Coefficients[a]

Model		Unstandardized Coefficients B	Unstandardized Coefficients Std. Error	Standardized Coefficients Beta	t	Sig.
1	(Constant)	0.909	0.158		5.740	0.000
	DigitalWallet Usage	0.703	0.052	0.673	13.421	0.000

a. Dependent Variable: FinancialBehavior

Table 3 presents the regression analysis results used to assess the influence of digital wallet usage on the financial behavior of students. This table displays critical statistical indicators such as the R-squared (R^2), beta coefficient (β), F-value, and p-value, each contributing to the interpretation of how digital wallet adoption correlates with financial decision-making. The R^2 value indicates the proportion of variation in financial behavior that can be explained by digital wallet usage, demonstrating that a considerable part of students' financial habits is associated with their use of digital financial tools.

The coefficient of determination ($R^2 = 0.454$) implies that approximately 45.4% of the variation in financial behavior can be explained by digital wallet usage. This denotes a moderate level of explanatory power, reinforcing the idea that financial habits significantly influence the adoption and utilization of digital financial tools. While some dispersion around the regression line is evident, the clustering of data points supports the reliability of the linear model and suggests a meaningful relationship between the variables.

Furthermore, the significance level (Sig. $< .001$) in the ANOVA table indicates that the overall regression model is statistically significant. This means that there is a less than 0.1% probability that the observed relationship between digital wallet usage and financial behavior occurred by chance. The F-value of 180.136 further supports the strength of this model, showing a high ratio of explained to unexplained variance. In essence, digital wallet usage is a significant predictor of financial behavior among the sampled population.

A positive and statistically significant β value supports the claim that increased digital wallet usage promotes better financial behavior, including practices like budgeting, saving, and managing spending. The p-value, being below the 0.05 threshold, reinforces the significance of this relationship, suggesting that the findings are not due to random variation but rather reflect a genuine effect of digital wallet use on financial behavior.

Linge and Afrizal (2023) found that behavioral intention to use mobile payment apps positively influences actual usage and financial decision-making, as digital wallets enhance transaction transparency and control over expenditures. Similarly, Lee (2022) emphasized that the design, usability, and interactivity of digital wallets improve user engagement and financial awareness, leading to better financial practices. Furthermore, Chawla and Joshi (2021) highlighted that the perceived ease of use and usefulness of digital wallets contribute significantly to adoption among youth, which in turn positively impacts their budgeting and saving behaviors. These studies support the conclusion that digital wallet usage serves as a catalyst for improved financial responsibility, as demonstrated in the regression outcomes of Table 3.

CONCLUSION

Based on the results, it can be concluded that digital wallets play an influential role in shaping the financial behavior of HEI students in Talisayan. The participants perceive digital wallets as user-friendly, useful, and valuable tools that assist them in managing day-to-day financial transactions. Their strong agreement on these determinants indicates a high level of acceptance and satisfaction with the use of digital wallets as part of their financial activities.

Additionally, the participants' financial behavior reflects a pattern of responsibility, particularly in areas of cash management and budgeting. The consistency in agreement and the low variability among responses suggest that students not only understand the importance of managing finances but are also actively applying budgeting and planning strategies in their daily lives. This underscores their readiness to integrate digital financial tools into their personal finance routines.

Furthermore, the statistically significant and positive correlation between digital wallet usage and financial behavior, as revealed by the regression analysis ($R^2 = 0.454$), provides clear empirical evidence that digital tools can enhance students' financial responsibility. As students increasingly rely on digital wallets, their financial planning and control also improve. This confirms that digital wallets are not merely transactional tools but serve as effective enablers of financial discipline and literacy when used purposefully.

RECOMMENDATION

In light of the study's results, it is recommended that higher education institutions incorporate digital financial education into their curricula. Financial literacy programs should include components that teach students how to effectively use digital wallets for budgeting, saving, and managing expenses. These programs can enhance students' understanding of both the functionality and the long-term benefits of digital financial tools. Educators should also encourage the responsible and informed use of digital financial services, especially in light of growing digitalization among the youth.

It is also advisable for digital wallet providers to continue improving platform security, user interface design, and financial management features. Addressing security concerns and enhancing user trust will help increase adoption, especially for hesitant users. Features like real-time tracking, budgeting templates, and financial goal-setting tools can be especially useful for student users and should be promoted as part of the digital wallet experience. Collaborations between fintech developers and educational institutions can lead to more student-centered innovations in financial technology.

For future researchers, this study opens the door for deeper investigations into the long-term effects of digital wallet usage on financial well-being and decision-making. Future studies may expand the scope by exploring other demographic groups, comparing rural and urban users, or integrating additional variables such as income level, digital literacy, or parental influence. Researchers may also consider using qualitative methods to capture more in-depth insights into students' attitudes, motivations, and challenges in using digital financial tools. Longitudinal studies can further provide evidence on whether digital wallet usage leads to sustained improvements in financial behavior over time.

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